



PAYPAL AI HACKATHON 2026

Promises, *kept.*

Escrow with an AI referee, built on PayPal — for freelance work agreed anywhere on the internet.

THE PROBLEM

The deal was made in a DM.
It's paid on trust.

71%

of US freelancers have struggled to get paid — losing **\$5,968** on average

Freelancers Union, 2015

<1%

of stiffed New York freelancers ever went to court (62% had been stiffed)

Authors Guild / Freelancers Union, 2022

58%

of US independents don't rely primarily on platforms — so no escrow, no referee

MBO Partners, 2025

Clients have the mirror-image fear: pay upfront and hope the work arrives. And PayPal Purchase Protection excludes *"Significantly Not as Described claims for wholly or partly custom-made items."*

TODAY'S OPTIONS

Expensive, slow, or blind.

OPTION	WHAT IT COSTS	OFF-PLATFORM DEALS?	WHO JUDGES THE WORK?
Upwork	~20% blended take; \$337.50/side arbitration	Mostly no	Humans, days
Fiverr	20% seller + 5.5% buyer	No	Support tickets
Escrow.com	\$50 minimum (~10% of a \$500 milestone with card)	Yes	Nobody checks the work
"Just trust them"	Free — until it isn't	Yes	Nobody
Kept	Freelancer keeps 100% · client pays 2.9% + PayPal at cost	Built for it	AI referee in ~1 minute, with evidence; humans on appeal

THE INSIGHT

Escrow was never the hard part. *The judge was.*

A neutral judge that reads the agreement, looks at the work and decides — cheaply, quickly, with receipts. In 2026 an LLM can be that judge, if you give it a contract written to be checked, evidence computed by code, and a payment rail that can pay, refund or split.

HOW IT WORKS

From DM to paid, in five steps.

1

Compile

Paste the chat → milestones and machine-checkable criteria. Vague terms rewritten, scam signals flagged.

3

Deliver & judge

Evidence engine measures files, links and repos; the AI referee rules per criterion with citations.

5

No ghosting

Client silent past the window? Passing work auto-releases; failing work goes to mediation.

2

Seal & fund

Both sign. Client funds each milestone with PayPal Checkout; money held in escrow.

4

Settle

Approve → PayPal Payout. Dispute → AI-mediated split as Payout + partial refund. Reject → human.

+

Agents hire too

MCP server: AI agents create pacts, get PayPal approval links for humans, submit work, read verdicts.

THE PRODUCT

 AI referee verdict

Every ruling shows its work.

A score computed in code, a result per criterion, the exact evidence quoted, machine checks that override the model — and a red flag when a deliverable tries to talk to the referee.

AI YOU CAN PUT NEXT TO MONEY

Code measures. The model judges. People decide.

Deterministic evidence

Word counts, live links, page contents,
repo paths, image sizes, PDF/DOCX text
— computed by code and authoritative
over the model.

Injection-proof

Untrusted content is fenced; a scanner
reads text hidden from humans.
Manipulated deliverables never auto-
release.

Humans hold the pen

The mediator only proposes. Both
parties must accept a split, or it
escalates to a human arbitrator.

BUILT ON PAYPAL

Every rail does real work.

PAYPAL CAPABILITY	IN KEPT
Orders v2 via the PayPal Server SDK (APIMatic)	Fund each milestone; itemised fees; idempotent create/capture; real PayPal fee read into the ledger
JS SDK v6	PayPal + guest card buttons in the pact room
Payouts	Release escrow to the freelancer; deterministic sender_batch_id = no double pay
Payments v2 refunds	Full refunds and partial refunds for AI-mediated splits
Webhooks + signature verification	Self-healing capture if the browser closes; payout/refund reconciliation
Log in with PayPal	Sign in and link a verified payout account

AGENTIC COMMERCE

Agents can pay for things. *Kept lets them pay for work.*

```
$ claude mcp add --transport http kept https://kept.onrender.com/api/mcp --header "Authorization: Bearer kept_sk_..."
```

- › Hire a designer for 3 Instagram carousels for my yoga studio, \$300, with escrow.
- kept · create_pact → pct_... "Instagram carousel designs" · 4 criteria · 2 auto-checked
- kept · create_funding_order → PayPal approval link for you to approve
- kept · get_verdict → PASS 92/100 · approve_milestone → PayPal Payout sent

BUSINESS MODEL

Freelancers keep 100%.

Unit economics · \$300 milestone

Kept fee (2.9%, paid by client)	\$8.70
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PayPal processing	passed through
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Payout fee	-\$0.25
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AI review (Claude)	≈ -\$0.10
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Contribution	≈ \$8.35 (96%)
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Built-in growth loop

Every pact is an invite to the other side. Freelancers share a public track record and a "Paid safely with Kept" badge.

Compounding moat

A corpus of agreements, deliverables and rulings calibrates the referee; reputation lives on Kept.

Market: 64M US freelancers earned \$1.27T in 2023 (Upwork). Upwork + Fiverr together handled ~\$5B GSV/GMV in 2025 — well under 1% of that.

FROM SANDBOX TO PRODUCTION

PayPal holds the money. Kept holds the judgment.

In production Kept runs on PayPal's multiparty platform with **delayed disbursement**: freelancers onboard via Partner Referrals, orders name the freelancer as payee with `disbursement_mode: DELAYED`, and Kept releases with referenced payouts. PayPal holds funds; Kept never touches them — no money-transmitter licensing, escrow pre-approval as PayPal's AUP requires.

Next

**Discord & Slack bot: /pact
in any chat**

Next

**Multi-currency for cross-
border freelancers**

Next

**Arbitrator marketplace for
escalations**

Next

**Agent-to-agent work with
outcome escrow**

Promises, *kept*.

Try it: click **Try as Maya**, switch to Ade, and pay with the PayPal sandbox.

`github.com/shi1720/paypal-ai`